

Imagine you are part of a data science team working for a retail store that wants to improve its sales strategy. The store has collected data on customer purchases, including:

- Customer demographics (age, gender, income)
- Purchase history (items bought, frequency of purchases)
- Store traffic data (time spent in the store, peak hours)

Task

Your task is to analyze this data to identify patterns and make recommendations to enhance customer satisfaction and sales performance.

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1. Linear Algebra

Matrix Representation: How can customer data be represented as matrices? Discuss the potential for using matrix operations to analyse trends.

Dimensionality Reduction: Consider using techniques like Principal Component Analysis (PCA). How can this help in understanding

customer segments? What dimensions (features) would you focus on, and why?

2. Basic Probability

Event Probability: If the store offers a discount on a specific product, what is the probability that a customer will purchase it? Discuss how you would calculate this probability using historical data.

Bayesian Inference: How might you use Bayesian probability to update your beliefs about customer preferences based on new sales data?

3. Descriptive Statistics

Central Tendency: What measures of central tendency (mean, median, mode) would you calculate for customer age and income? Why is it important to consider different measures?

Variability: Discuss the significance of measuring variability (range, variance, standard deviation) in customer purchase amounts. How does understanding variability assist in inventory management?

Visualisations: Which types of visualisations (histograms, box plots, scatter plots) would best

represent the data you have? How can these visual tools help in identifying trends or outliers in customer behavior?